

Bill Spencer

From: Bill Spencer
Sent: Tuesday, June 11, 2019 2:07 PM
To: Holliday, Laura T; McClinton, Scott M
Cc: Adam Fyall; Adam Morasch
Subject: Re: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Laura

The state of Washington is a 100% of Market value state.

From: Holliday, Laura T <HollidayL@gao.gov>
Sent: Tuesday, June 4, 2019 11:45:00 PM
To: Bill Spencer; McClinton, Scott M
Cc: Adam Fyall; Adam Morasch
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Thank you for sending this. Regarding your question about the assessment rate, the market value is multiplied by a percentage (the assessment rate or assessment ratio) to determine the “assessed value” of the property. In most states, final property assessment values are a percentage of the property’s fair market value. The rate or ratio varies considerably by state, from less than 10 percent to 100 percent of a property’s fair market value.

If further clarification would be helpful, please let us know.

Thanks,
Laura

From: Bill Spencer [mailto:Bill.Spencer@co.benton.wa.us]
Sent: Tuesday, June 04, 2019 1:53 PM
To: McClinton, Scott M
Cc: Holliday, Laura T; Adam Fyall; Adam Morasch
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Here you go. Also, what do you mean by “**assessment rate that was used to change the assessed value of the land**”. Are you looking for the levy rate, difference between Market value and Assessment value? The Assessed value of land was not changed. The difference in calculation is that instead of looking at the “Market Value” the formula is now looking at the “Assessed Value”.

	Acres_	\$/acre_	Value_	Total Value_
<u>Kiona-Benton School District</u>	-	-	-	-
Dryland *(per acre)	8,547	\$124	\$1,056,257	\$2,742,744
Irrigable Land (Per Acre)	642	\$2,627	\$1,686,487	
<u>Prosser Hospital District</u>	-	-	-	-
Dryland *(per acre)	15,455	\$124	\$1,909,963	\$9,662,022
Irrigable Land (Per Acre)	2,951	\$2,627	\$7,752,059	
<u>Prosser School District</u>	-	-	-	-

Dryland *(per acre)	15,352	\$124	\$1,897,233	\$15,378,618
Irrigable Land (Per Acre)	5,132	\$2,627	\$13,481,385	
<u>Richland School District</u>				
Dryland *(per acre)	10,424	\$124	\$1,288,176	
Irrigable Land (Per Acre)	86,724	\$2,627	\$227,816,779	
Lesser Riverfront (per linear foot)	128,978	\$50	\$6,448,900	\$377,041,800
Prime Riverfront (per linear foot)	30,672	\$1,965	\$60,270,480	
Rural Residential(per acre)	591	\$22,411	\$13,233,959	
Town Plats (per acre)	644	\$105,564	\$67,983,506	
	Acres_	\$/acre_	Value_	Total Value_
<u>Benton County Total</u>				
Dryland *(per acre)	34,323	\$124	\$4,241,667	
Irrigable Land (Per Acre)	92,498	\$2,627	\$242,984,651	
Lesser Riverfront (per linear foot)	128,978	\$50	\$6,448,900	\$395,163,162
Prime Riverfront (per linear foot)	30,672	\$1,965	\$60,270,480	
Rural Residential(per acre)	591	\$22,411	\$13,233,959	
Town Plats (per acre)	644	\$105,564	\$67,983,506	
Grand Total	287,705	\$132,741	\$395,163,162	\$395,163,162

From: McClinton, Scott M <McClintonS@gao.gov>

Sent: Thursday, May 30, 2019 11:29 AM

To: Bill Spencer <Bill.Spencer@co.benton.wa.us>

Cc: Holliday, Laura T <HollidayL@gao.gov>; Adam Fyall <Adam.Fyall@co.benton.wa.us>; Adam Morasch <Adam.Morasch@co.benton.wa.us>

Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Good afternoon,

Just wanted to reach out again as part of the Government Accountability Office's (GAO) engagement looking at the Department of Energy's Payment in Lieu of Taxes (PILT) we have been discussing recent changes to the Benton County PILT requests with Adam Fyall who requested that we refer a question to you. He recently sent us the information for this year's invoice to DOE, and we discussed the changes that were made to that request when we spoke with your county, but wanted to confirm one element of that change.

According to the 2019 request, the assessed value of the land is \$395,163,162 while according to the 2017 PILT request the assessed land value was \$743,818,780. This matches what you expressed to be your intention during our interview. During the interview you stated that your intended mechanism to make that shift was lowering the assessed value of the rate using the agricultural assessed rate under Washington State's Open Space Act.

We just wanted to confirm that this, using the Open Space Act to apply an agricultural assessed rate to the land value, was the mechanism you ultimately went with. In addition, if you would be able to tell us the assessment rate that was used to change the assessed value of the land that would be helpful.

Thank you very much for your assistance, and if you have any other questions please do not hesitate to reach out. Have an excellent day,

Skip McClinton
Government Accountability Office (GAO)
Natural Resources and Environment | Analyst
McClintonS@gao.gov | (202)512-2570 | 2944C

From: Adam Fyall [<mailto:Adam.Fyall@co.benton.wa.us>]
Sent: Thursday, May 16, 2019 1:25 PM
To: McClinton, Scott M
Cc: Holliday, Laura T
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Hi Skip,

This question is a little out of my depth and best directed to our Assessor, Bill Spencer, who joined on the conference call we had that day. I could simply forward it to him, but why don't send it to him directly. His address is bill.spencer@co.benton.wa.us. Go ahead and copy his deputy as well, Adam Morasch. Same email address structure.

Adam

Adam J. Fyall
Sustainable Development Manager
Benton County Commissioners' Office
7122 West Okanogan Place
Kennewick WA 99336
509-736-3053

From: McClinton, Scott M <McClintonS@gao.gov>
Sent: Wednesday, May 15, 2019 12:51 PM
To: Adam Fyall <Adam.Fyall@co.benton.wa.us>
Cc: Holliday, Laura T <HollidayL@gao.gov>
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Good afternoon,

Thank you again for sending the document containing the information for the 2019 PILT request. We greatly appreciate your time and assistance while we look at PILT.

I just wanted to confirm one quick element regarding the PILT calculation, if you are willing.

According to the 2019 request, the assessed value of the land is \$395,163,162 while according to the 2017 PILT request the assessed land value was \$743,818,780. This matches what you expressed to be your intention during our interview, and during the interview you stated that your intended mechanism to make that shift was lowering the assessed value of the rate using the agricultural assessed rate under Washington State's Open Space Act.

We just wanted to confirm that this, using the Open Space Act to apply an agricultural assessed rate to the land value, was the mechanism you ultimately went with.

In addition if you would be able to let us know if this rate was applied to all the land at the site or just those that classified as irrigated farmland and dryland.

Have an excellent day,

Skip McClinton
Government Accountability Office (GAO)
Natural Resources and Environment | Analyst
McClintonS@gao.gov | (202)512-2570 | 2944C

From: Adam Fyall [<mailto:Adam.Fyall@co.benton.wa.us>]
Sent: Friday, May 10, 2019 2:04 PM
To: McClinton, Scott M
Cc: Holliday, Laura T
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Hi Skip,

Attached, please find the transmittal of the PILT calculation from our Assessor to our Treasurer. Recall that the Assessor calculates the PILT amount each year, but it is the Treasurer that bills DOE and receives/accounts for the funds.

Adam

Adam J. Fyall
Sustainable Development Manager
Benton County Commissioners' Office
7122 West Okanogan Place
Kennewick WA 99336
509-736-3053

From: McClinton, Scott M <McClintonS@gao.gov>
Sent: Wednesday, May 8, 2019 8:17 AM
To: Adam Fyall <Adam.Fyall@co.benton.wa.us>
Cc: Holliday, Laura T <HollidayL@gao.gov>
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Thank you for the information! It is greatly appreciated.
Any supporting documentation that you are able and willing to share is appreciated.
Have an excellent day,

Skip McClinton
Government Accountability Office (GAO)
Natural Resources and Environment | Analyst
McClintonS@gao.gov | (202)512-2570 | 2944C

From: Adam Fyall [<mailto:Adam.Fyall@co.benton.wa.us>]
Sent: Wednesday, May 08, 2019 9:46 AM
To: McClinton, Scott M

Cc: Holliday, Laura T

Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Hi Skip,

Attached, please find the invoice letter that was prepared by our Treasurer and presented to DOE-RL. There is some other supporting documentation I can get for you as well if you like, though I will be out of the office most of today and Thursday.

Adam

Adam J. Fyall

Sustainable Development Manager
Benton County Commissioners' Office
7122 West Okanogan Place
Kennewick WA 99336
509-736-3053

From: McClinton, Scott M <McClintonS@gao.gov>
Sent: Tuesday, May 7, 2019 12:05 PM
To: Adam Fyall <Adam.Fyall@co.benton.wa.us>
Cc: Holliday, Laura T <HollidayL@gao.gov>
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Good afternoon,
Just wanted to check back in and see if any progress was made in regards to the documentation of the possible change in invoice request level for PILT.
Thank you again for your assistance.
Have an excellent day,

Skip McClinton
Government Accountability Office (GAO)
Natural Resources and Environment | Analyst
McClintonS@gao.gov | (202)512-2570 | 2944C

From: Adam Fyall [<mailto:Adam.Fyall@co.benton.wa.us>]
Sent: Friday, April 26, 2019 2:23 PM
To: McClinton, Scott M
Cc: Holliday, Laura T
Subject: RE: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

Hi Scott,

I have seen the draft invoice just this week. It is not final, so I'm not at liberty to discuss, but I think it should be finalized by the middle of next week. I'll keep you posted.

Adam

Adam J. Fyall

Sustainable Development Manager
Benton County Commissioners' Office
7122 West Okanogan Place
Kennewick WA 99336
509-736-3053

From: McClinton, Scott M <McClintonS@gao.gov>
Sent: Thursday, April 25, 2019 7:37 AM
To: Adam Fyall <Adam.Fyall@co.benton.wa.us>
Cc: Holliday, Laura T <HollidayL@gao.gov>
Subject: [EXTERNAL] RE: GAO/PILT: Follow Up Question to 3/11 Interview

CAUTION: This email originated from outside of Benton County. Do not click links or open attachments unless you recognize the sender and know the content is safe.

Good morning,

Thank you again for your assistance in GAO engagement 103107 looking at DOE's PILT program.

We just wanted to reach out to see if you had any additional information regarding the new Benton County invoice for Hanford's PILT payment that was expected to be significantly less than the previous year's invoice (if it has been sent to DOE, if the lower total was the one that was used, and if any reason beyond what was discussed in the meeting contributed to that lower amount) or if possible provide to GAO that invoice.

Thank you again and if you have any questions please do not be afraid to reach out.

Have an excellent day,

Skip McClinton
Government Accountability Office (GAO)
Natural Resources and Environment | Analyst
McClintonS@gao.gov | (202)512-2570 | 2944C

From: Adam Fyall [<mailto:Adam.Fyall@co.benton.wa.us>]
Sent: Monday, April 01, 2019 11:26 AM
To: McClinton, Scott M
Cc: Holliday, Laura T
Subject: RE: GAO/PILT: Follow Up Question to 3/11 Interview

Hi Skip,

I expect to see that invoice any day now, but it hasn't been finalized as yet. I will pass it along as soon as I have it.

Adam

Adam J. Fyall

Sustainable Development Manager
Benton County Commissioners' Office
7122 West Okanogan Place
Kennewick WA 99336
509-736-3053

From: McClinton, Scott M <McClintonS@gao.gov>
Sent: Monday, April 1, 2019 8:05 AM
To: Adam Fyall <Adam.Fyall@co.benton.wa.us>
Cc: Holliday, Laura T <HollidayL@gao.gov>
Subject: GAO/PILT: Follow Up Question to 3/11 Interview

Good morning,

Thank you again for your assistance in setting up the interview between GAO and the officials from Benton County to discuss PILT.

One item that we discussed during that interview was the new invoice to DOE, with the updated formula resulting in a new, lower payment request. We wanted to reach out to see if you would be able to provide information on the status of that new invoice (if it has been sent to DOE, if the lower total was the one that was used, and if any reason beyond what was discussed in the meeting contributed to that lower amount) or if possible provide to GAO that invoice.

If you have any questions or concerns, please do not hesitate to email or call Laura or myself.

Have an excellent day,

Skip McClinton
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